

OOF™ Value Flow Mechanism

Canonical Hierarchical Scheme (Regulator-Grade)

1. Value Flow Mechanism (VFM™)

Level: System / Governance Mechanism

Role: Primary, non-asset-specific governance logic governing how value is created, withdrawn, neutralized, and restored.

The Value Flow Mechanism defines **how value moves over time** within a structured system context.

It does not judge objects; it governs transitions between value states based on validated conditions.

2. Value States Layer

Level: State Logic

Value States are objective system states that may be assigned to any Value Asset.

They are not labels of worth, but results of validated evaluation under defined methodological rules.

Canonical Value States:

1. ORIGIN VALUE™

State of validated, origin-bound, audit-confirmed value.

2. DEMONET™ (De-Monetization)

State in which monetization rights are methodologically withdrawn due to validated non-compliance, integrity failure, or rule breach.

3. ZVA™ (Zero Value Asset)

State of confirmed zero economic value under the governing methodology.

4. REMONET™ (Re-Monetization)

Transitional state enabling conditional restoration of value once corrective criteria are demonstrably met.

Important: These are **states**, not products, sanctions, penalties, or opinions.

3. Value Asset Layer

Level: Object Layer

A **Value Asset** is any entity capable of carrying value within the system.

Examples include (non-exhaustive):

- Physical products
- Companies or projects
- Data sets
- AI models
- Digital identities
- Environmental resources
- Certifications or rights

The Value Asset itself is **neutral**.

Only its **state** changes within the Value Flow Mechanism.

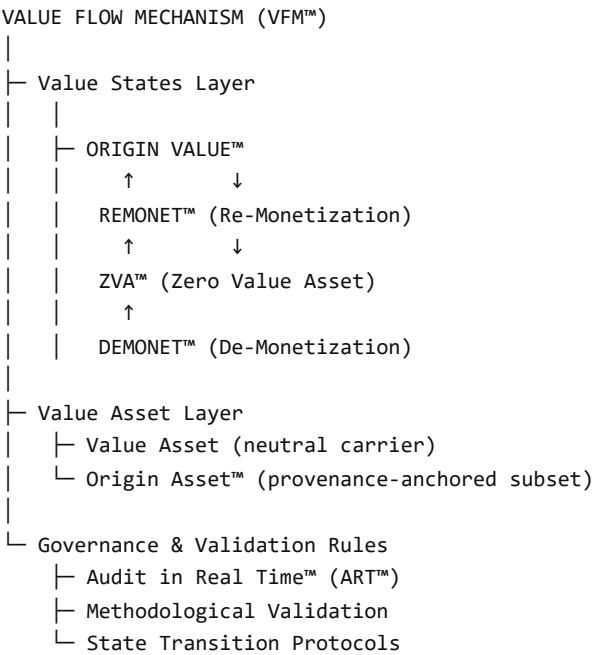
4. Origin Asset™ Layer

Level: Provenance Anchor

An **Origin Asset™** is a Value Asset whose provenance, integrity, and origin conditions are verifiably established.

Origin Assets act as **reference anchors** within the Value Flow Mechanism and represent assets eligible for achieving or restoring **ORIGIN VALUE™** status under validated criteria.

5. Hierarchical Flow Tree (Canonical)



6. State Transition Logic

Level: State Logic

Value States are objective system states that may be assigned to any Value Asset.

They are not labels of worth, but results of validated evaluation under defined methodological rules.

Canonical Value States:

1. **ORIGIN VALUE™ → DEMONET™**

Triggered by validated integrity failure, non-compliance, or rule breach.

2. **DEMONET™ → ZVA™**

Confirmed removal of monetizable value under governing methodological criteria.

3. **ZVA™ → REMONET™**

Conditional eligibility phase once remediation criteria are demonstrably satisfied.

4. **REMONET™ → ORIGIN VALUE™**

Restoration of validated value following successful re-audit under defined standards.

All transitions are rule-based, auditable, and non-discretionary within the methodology.

7. Canonical Definitions (Regulator-Grade)

Value Flow Mechanism (VFM™)

A non-discretionary governance mechanism defining how value states are assigned, withdrawn, neutralized, and restored over time based on validated methodological criteria.

Value Asset

A neutral entity capable of carrying value within the system. Value Assets are not judged; only their states change.

Origin Asset™

A Value Asset with verifiable provenance and integrity, eligible for origin-based valuation and structured re-monetization.

Value States

An objective, system-validated condition reflecting the current valuation status of a Value Asset.

ZVA™ (Zero Value Asset)

A confirmed value state indicating zero economic value under the governing methodology.

DEMONET™ (De-Monetization)

A value state representing the structured withdrawal of monetization rights under defined validation rules.

REMONET™ (Re-Monetization)

A transitional value state enabling conditional restoration of value following verified remediation.

ORIGIN VALUE™

A state of validated, origin-bound, audit-confirmed value within the defined governance framework.

8. Regulatory Positioning Statement

The OOF™ Value Flow Mechanism is not a punitive system, not a market intervention, and not a discretionary rating tool.

It is a methodological governance framework designed to provide regulators, institutions, and systems with an objective, auditable, and repeatable model for managing value transitions.

OOF™ does not execute state transitions.

It defines the architectural methodology under which compliant systems may implement them within their respective legal and operational environments.

OOF™ Origin Open Foundation™

Global Methodology Authority

VFM™ Use Case

Digital-to-Physical Value Transition

Governance

Context

Modern economic value is increasingly created in digital environments:a>

- AI-generated services
- cloud-based platforms
- tokenized representations of physical rights
- cross-border digital revenues

However, once this value enters the real economy — through taxation, credit evaluation, asset recognition, or regulatory reporting — there is no standardized methodology governing how that transition should be validated.

Current systems track transactions.
They do not define structured value-state transitions.

Structural Gap

When digital value moves into physical or jurisdictional recognition, critical questions arise:

- Where did the value originate?
- Under which conditions is it economically valid?
- When should monetization rights be suspended?
- How can value be restored after compliance failure?

There is currently no neutral governance architecture defining these transitions across domains.

VFM™ Application

The OOF™ Value Flow Mechanism introduces:

- a neutral Value Asset model
- objective Value States
- rule-based, non-discretionary state transitions
- audit-bound validation logic

When digital economic activity enters real-world financial systems, the framework enables:

- origin-bound validation (ORIGIN VALUE™)
- structured monetization withdrawal (DEMONET™)
- confirmed economic neutralization (ZVA™)
- controlled restoration pathways (REMONET™)

This does not replace legal or fiscal systems.
It provides a methodological structure under which value transitions may be assessed consistently and transparently.

Relevance for Regulators

For regulatory bodies and supervisory authorities, VFM™ offers:

- a structured vocabulary for cross-domain value recognition
- a non-discretionary logic for economic state assignment
- audit-aligned transition governance

- conceptual compatibility with digital economy oversight

The framework does not intervene in markets.

It defines how value states may be methodologically interpreted across digital and physical domains.

VFM™ Use Case

AI-Based Credit and Economic Decision Governance

Context

Financial institutions increasingly rely on automated and AI-driven systems for:

- credit approval
- risk assessment
- insurance pricing
- capital allocation

These decisions directly impact economic value, monetization rights, and financial stability.

However, there is no standardized governance architecture defining how the economic state of a decision should be assigned, suspended, or restored when model integrity changes.

Structural Gap

Current AI governance frameworks focus on:

- bias mitigation
- explainability
- model transparency

They do not define a structured economic state logic governing the consequences of automated decisions.

When a model fails validation:

- What happens to monetization rights?
- How is economic impact neutralized?
- What is the structured path toward reinstatement?

There is no neutral value-state architecture governing these transitions.

VFM™ Application

Within the Value Flow Mechanism:

An AI credit model can be treated as a Value Asset.

The economic impact of its decisions may be governed by objective value states:

- ORIGIN VALUE™ – validated, audit-confirmed operational integrity
- DEMONET™ – temporary suspension of monetization rights following compliance failure
- ZVA™ – confirmed economic neutralization under defined methodology
- REMONET™ – structured reinstatement after corrective validation

This creates a non-discretionary transition framework for managing economic consequences of automated systems.

Relevance for Regulators

For supervisory authorities and policy frameworks, VFM™ provides:

- a structured state model for economic consequence management
- audit-aligned transition logic
- conceptual compatibility with AI governance regimes
- non-punitive, rule-based value control architecture

The framework does not replace regulatory authority.
It defines methodological governance of value transitions.

Relevance for Banks and Financial Institutions

For financial institutions, the architecture may support:

- structured control of AI-driven monetization exposure
- clearer internal governance of model-risk consequences
- defined remediation pathways before economic reinstatement

For credit systems, this enables a governance layer where economic consequences are state-bound rather than discretion-bound.

Long-Term Outlook

As automated systems increasingly influence economic allocation, structured value-state governance may become necessary for maintaining financial integrity.

The VFM™ framework defines an infrastructure model that remains applicable across evolving AI technologies and regulatory landscapes.

OOF™ defines the architecture.
Implementation remains with compliant institutions.

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Canonical Source

<https://originopenfoundation.org/>